



On the evening of February 8, at least 800 people assembled in Mumbai for the launch of *Made in India*, a biography of Desh Bandhu Gupta (DBG), a chemistry professor who started Lupin Laboratories in 1968 with a ₹5,000 loan from his wife and built it into one of India's most formidable pharmaceutical companies.

In the audience sat Managing Director Nilesh Gupta, 52, and his sister and Chief Executive Officer Vinita Gupta, 58, with their mother, Manju Gupta, and their siblings, listening to tributes to their father, who passed away in June 2017 at the age of 79.

For them, the evening was as much about the road ahead as the one already travelled. In FY25, Lupin reported gross sales of ₹22,192 crore and a profit after tax of ₹3,306 crore, its balance sheet net cash positive, revenues up about 50% and profits up nearly 170% over five years. After a period in which the company faced pressure, it is back at the table, and the siblings who run it are thinking about what comes next.

"It was not just about that evening," Nilesh tells *Business Today* afterwards. "It was also about the pharmaceutical journey and the journey going forward." Every business model, he says, has a time limit. Lupin has lived through exactly that realisation, how it responded forms the core of the story.

In 2015-16, the Indian generics industry was riding a wave. The US market, which absorbed large volumes of affordable generic medicines, was growing rapidly, margins were healthy and Indian drugmakers were expanding aggressively. Lupin, at its peak, was the second-largest pharmaceutical company in India by market value.

What followed was industry-wide tumult that left nobody entirely unscathed. Sustained pricing erosion in the US generics market compressed margins across the board. Regulatory scrutiny of Indian drug manufacturing plants intensified. For companies that had built their business models around volume-driven US generics, the adjustment was an ordeal. At Lupin, the pressure was compounded by specific challenges in key manufacturing facilities that required focused remediation and capability upgrades.

Addressing those regulatory issues has been a gradual process. Several facilities have since been remediated and cleared, although the company continues to work through regulatory observations of practices followed at certain plants. Profit fell from ₹2,556 crore in FY17 to a mere ₹255 crore in FY18.

While the company was profitable in FY20, it reported a loss in FY21 and FY22, when it was as much as ₹1,510 crore in the red. Revenue stayed largely flat for several years, reflecting the difficulty of expanding the top line while profitability was under pressure.

"When you go through these challenges, you realise that you cannot operate with an outdated business model," Nilesh says. "You have to refresh your business model and bring in new capabilities to deliver on that model."

Vinita Gupta distills the lesson. "One of the biggest challenges is adapting to change. No business model can remain forever. Adapting to market dynamics and identifying where the biggest opportunities lie becomes a very strong part of strategy," she says.

THE CALLS THAT MATTERED

What distinguishes Lupin's response to that pressure is the way it reassessed its portfolio and made choices that were difficult in the short term but necessary for the long term. The company exited Japan, a market it had entered with significant ambition. In 2007, the company acquired Kyowa Pharmaceutical for around \$230 million. Japan was ageing, demand for generics was rising. But the market proved harder to crack than anticipated. Regulatory complexity, pricing reforms that compressed generic margins, and the management bandwidth required to run a Japanese operation from India made the bet increasingly difficult to justify. Exiting freed up both capital and leadership attention for markets where Lupin's competitive position was stronger.

"Those decisions are difficult because sometimes you have at-